officially put the company up for sale and to consider other alternatives such as an LBO or recapitalization of the Company in order to maximize shareholder value.

Loeb's letter had the intended effect. In December Agribrands broke off its merger with Ralcorp, and entered into an agreement to be acquired by Cargill for $54.50 per share, a 40 percent premium to the cash offered in the Ralcorp merger. The new offer valued Agribrands at $580 million, valuing Agribrands' business at closer to five times its EBITDA. The Cargill offer delivered Third Point a $9 million profit on its $18.6 million position, generating a 48 percent return in a little under 3 months. In April 2001 Loeb sent a follow up letter to Stiritz offering his "praise and support for choosing a course of action consistent with the suggestions offered in my letter of September 8, 2000."[12] While it's impossible to know the impact Loeb's original letter had, his timing was uncanny, and certainly gave him grounds to claim that he had in fact shot down the original merger and preempted the final acquisition.

Loeb's analysis that Agribrands was undervalued at an acquisition price representing less than three times its enterprise value was almost certainly correct. As we saw in an earlier chapter, the enterprise multiple, whether determined on an EBIT or EBITDA basis, is the most predictive fundamental measure of valuation. Figure 10.2 shows the market capitalization-weighted returns to portfolios formed from the value decile of stocks ranked on the enterprise multiple (enterprise value/EBIT) over the full period of the data from January 1951 to December 2013. The stocks are selected annually from the largest 40 percent of stocks by market capitalization listed on the NYSE, Nasdaq, or American Stock Exchange. For context, the smallest stock by market capitalization in the available universe in December 2013 had a market capitalization of $1.8 billion, which makes it comparable to the Russell 1000 Index. We require such a high market capitalization cut-off and further market capitalization-weight the portfolio for two reasons. First, smaller stocks can have wide bid-ask spreads, which makes it difficult to trade them at the market price. More likely, the stocks are acquired at a higher price, and sold at a lower price, overstating the returns that could be obtained in the real world. Second, larger stocks are more likely to be investable. The problem with the net net stocks is that they are too small, and so the simulated returns don't reflect the experience of a real investor. Larger stocks are more likely to offer sufficient volume for larger investors. We measured the one-year performance of the value portfolios from January 1 of each year and compared it to the performance of the market capitalization-weighted universe of stocks from which the value portfolios are drawn ("All Stocks").